www.tntextbooks.in

Unit 10

DEPRECIATION ACCOUNTING

Contents

10.1 Introduction
10.2 Depreciation – Meaning and definition
10.3 Objectives of providing depreciation
10.4 Causes of depreciation
10.5 Characteristics of depreciation
10.6 Factors determining the amount of depreciation
10.7 Methods of providing depreciation
10.8 Methods of recording depreciation
10.9 Calculation of profit or loss on sale of asset

Points to recall

The following points are to be recalled before learning the depreciation accounting:

- The going concern concept
- The matching concept
- Meaning of fixed assets
- Tangible assets and intangible assets

AIYM9K

Learning Objectives

To enable the students to

- Understand the meaning and causes of depreciation
- Understand the various methods of providing depreciation
- Apply the different methods of depreciation and prepare asset account

Key terms to know

Depreciation

Provision for depreciation

Scrap value/residual value

Book value

Straight line method

Diminishing balance method